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Rotman

Merger Arbitrage Case

Rotman International Trading Competition 2026

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OVERVIEW

The Merger Arbitrage Case immerses participants in an event-driven equity market shaped by corporate merger and acquisition (M&A) activity. Participants will trade shares associated with five announced potential deals, each consisting of a target and an acquirer, with deal structures that include all-cash offers, stock-for-stock exchanges, and mixed consideration. Throughout the case, news releases will update market perceptions regarding the likelihood of deal completion, and participants are expected to interpret these updates to price deal spreads, construct hedged positions, and manage downside risk from deal delays or failure.

DESCRIPTION

There will be 2 heats and teams will allocate 2 team members for each heat. Each participant may compete in only one of the 2 heats. There will be 5 independent sub-heats. Each sub-heat is 10 minutes long and represents six months of calendar time.

Parameter	Value
Number of trading sub-heats	5
Trading time per sub-heat	600 seconds (10 minutes)
Calendar time per sub-heat	6 months (120 trading days)

News will be released during each sub-heat. Order submissions using the RIT API will be enabled. Data retrieval via Real-time Data (RTD) Links and the RIT API will also be enabled.

MARKET DYNAMICS

Participants will be able to trade 10 stocks representing five live M&A deals (five targets and five acquirers). All deal terms (cash offer prices and exchange ratios) are announced at the beginning and remain fixed throughout the sub-heat. Each target's price reflects the market's evolving assessment of the probability-weighted combination of (i) the deal value (the target's value if the deal closes) and (ii) the standalone value (the target's value if the deal fails).

The standalone value is not provided. Participants can infer a standalone value at $t = 0$ using the announced deal terms, the analyst's initial completion probabilities (p_0), and the starting prices. Once inferred, this standalone value is treated as fixed throughout the case. Each acquirer's price reflects the expected impact of the transaction, including potential synergies, financing costs, and dilution effects.

Deal structures vary across transactions. As a result, the relationship between target and acquirer prices differs by deal: in all-cash deals, the primary driver of the target's price is the market's perceived likelihood of completion; in stock-for-stock and mixed consideration deals, the target's value is also sensitive to the acquirer's price, creating additional hedging considerations.

Tradable Securities and Deal Terms

Participants will be able to trade the following securities from the start of each sub-heat:

Deal	Industry	Target (Ticker)	Acquirer (Ticker)	Deal Structure	Deal Terms*	Starting Prices (Target / Acquirer)
D1	Pharmaceuticals	Targenix (TGX)	Pharmaco (PHR)	All-cash	$50 per share	$43.70 / $47.50
D2	Cloud Software	ByteLayer (BYL)	CloudSys (CLD)	Stock-for-stock	0.75 CLD per BYL	$43.50 / $79.30
D3	Energy / Infrastructure	GreenGrid (GGD)	PetroNorth (PNR)	Mixed	$33 + 0.20 PNR	$31.50 / $59.80
D4	Banking	FinSure (FSR)	Atlas Bank (ATB)	All-cash	$40 per share	$30.50 / $62.20
D5	Renewable Energy	SolarPeak (SPK)	EastEnergy (EEC)	Stock-for-stock	1.20 EEC per SPK	$52.80 / $48.00

***Deal Terms** *are announced deal values (cash offer prices and stock exchange ratios) for the target company's price and will not change over time.*

Information and News Releases

News releases are the primary driver of changing deal perceptions throughout the sub-heat. For each deal, news items will fall into five general categories:

1. Regulatory / Antitrust (REG): Approvals, extended reviews, remedies, litigation risk
2. Financing / Capital Markets (FIN): Funding conditions, credit spreads, refinancing, leverage concerns
3. Shareholder / Board Actions (SHR): Proxy advisor recommendations, voting/tender dynamics, activism
4. Strategic Alternatives / Competing Bids (ALT): Topping bids, rival interest, renegotiation risk
5. Process / Timing / Conditions (PRC): Timeline updates, deadline extensions, procedural developments

Not all news items are equally informative. Some updates are clearly positive or negative, while others are ambiguous and require interpretation. At any time, a target's value can be viewed as a probability-weighted combination of its deal value and its standalone value. Positive news typically increases the market's estimated completion probability and moves the target toward the deal value; negative news does the opposite. Participants may choose to trade based primarily on qualitative interpretation of the news or develop quantitative tools to translate news into probabilistic updates and pricing signals.

Practice Case Note: The practice case is designed to help teams become familiar with the market dynamics and news flow. The competition environment may include additional news items not seen in practice, while preserving the same general structure and categories.

Analyst Guidance on Probability-Based Deal Dynamics

Analyst Anchors at $t = 0$ (initial completion probabilities)

To help teams establish a common starting point, your analyst team has produced initial "anchor" estimates of each deal's completion likelihood at the beginning of the sub-heat ($t = 0$). These estimates are intended to be a baseline for interpreting subsequent news. Teams may trade purely based on qualitative interpretation of headlines or use these anchors to translate news into probability updates and the intrinsic target prices.

Deal	Target / Acquirer	Initial Completion Probability p_0
D1	TGX / PHR	70%
D2	BYL / CLD	55%
D3	GGD / PNR	50%
D4	FSR / ATB	38%
D5	SPK / EEC	45%

Additionally, your team's analyst group has conducted preliminary work to help structure how news may translate into evolving deal likelihood during the sub-heat. In particular, they suggest thinking about deal outcomes as probabilistic and subject to revision as new information arrives. Based on historical deal behaviour and transaction characteristics, the analysts propose that the market impact of a news release depends primarily on: (i) its direction and severity, (ii) the category of information, and (iii) the deal's sensitivity to that category of risk. The parameters below provide an illustrative framework for how news may affect deal likelihood and, in turn, the intrinsic value of the target and acquirer securities.

1) Baseline impact by direction and severity (probability points)

Direction	Small	Medium	Large
Positive	+0.03	+0.07	+0.14
Negative	-0.04	-0.09	-0.18
Ambiguous	±0.00 to ±0.03	±0.00 to ±0.05	±0.00 to ±0.07

Ambiguous news reflects uncertainty: its directional implication may be positive or negative depending on the content and market interpretation.

2) Category Multipliers (relative influence)

Category	Multiplier
REG	1.25
FIN	1.00

SHR	0.90
ALT	1.40
PRC	0.70

3) Deal-specific Sensitivity Multipliers

Deal	Notes	Multiplier
D1	Pharma cash	1.00
D2	Tech stock-for-stock	1.05
D3	Energy mixed	1.10
D4	Banking cash	1.30
D5	Renewable stock	1.15

News Examples

News Example 1: Positive regulatory signal (D4 Banking, highest sensitivity)

"Regulators indicate remedies framework is acceptable in principle; parties continue constructive discussions."

This news item shall be considered positive / medium severity, which has +0.07 additional point to the current probability. Given that this news is regulatory category in nature which has 1.25 multiplier and D4 deal category with 1.30 multiplier, the probably update from this news should be:

$$\Delta p = 0.07 \times 1.25 \times 1.30 = 0.11375$$

This single news item increases completion probability by +11.375 percentage points (illustrative). In other words, if the current deal probability before the news was $p = 0.38$, then:

$$p_{\text{new}} = 0.38 + 0.11375 = 0.49375$$

Since the intrinsic target price (P_T^*) is the probability-weighted combination of the deal value and the standalone value:

$$P_T^* = p \times K + (1 - p) \times V$$

where,
$p = probability\ of\ the\ deal\ closing\ successfully$
$K = deal\ value\ (offer\ price)$
$V = standalone\ value$

Using the initial completion probability (p_0) and the starting price (P_0),

$$V = \frac{P_0 - p_0 \times K}{1 - p_0} = \frac{\$30.50 - 38\% \times \$40}{1 - 38\%} \approx \$24.68.$$

Accounting for the new probability ($p_{new} = 0.49375$) from above, the updated intrinsic target price should be:

$$P_T^* = p \times K + (1 - p) \times V = 0.49375 \times \$40 + (1 - 0.49375) \times \$24.68 \approx \$32.24.$$

News Example 2: Negative financing shock (D3 Energy mixed, medium-high sensitivity)

"Credit conditions deteriorate; lenders seek repricing discussions and the timeline becomes less certain."

This news item shall be considered negative / large severity, which has -0.18 additional point to the current probability. Given that this news is financing category in nature which has 1.00 multiplier and D3 deal category with 1.10 multiplier, the probably update from this news should be:

$$\Delta p = -0.18 \times 1.00 \times 1.10 = -0.198.$$

This single news item reduces completion probability by -19.8 percentage points (illustrative). In other words, if the current deal probability before the news was $p = 0.50$, then:

$$p_{new} = 0.50 - 0.198 = 0.302.$$

TRADING LIMITS AND TRANSACTION COSTS

Each participant will be subject to gross and net trading limits of 100,000 and 50,000 shares, respectively. The gross trading limit reflects the sum of the absolute values of the long and short positions across all stocks, while the net trading limit reflects the sum of long and short positions such that short positions negate any long positions. Trading limits will be strictly enforced and participants will not be able to exceed them. The maximum order size is 5,000 shares and commissions are set at $0.02 per share.

POSITION CLOSE-OUT

Any open position will be closed out at the end of each sub-heat based on the last traded prices. Note that deal outcomes may or may not resolve within a sub-heat; if a deal resolves before the end of trading, the market price will be equal to the realized outcome.

KEY OBJECTIVES

Objective 1

Interpret news releases and assess evolving deal likelihood to identify mispricing opportunities in deal spreads.

Objective 2

Construct and manage merger arbitrage positions appropriate to each deal structure (cash vs. stock vs. mixed), including hedging acquirer exposure where relevant.

Objective 3

Manage risk across multiple simultaneous deal situations, including adverse news shocks, deal delays, and deal failure risk.